amount they legitimately can put aside is too insignificant. No amount is insignificant. Even $5 a month will help. The savings can be any reasonable amount that fits your particular life pattern.

Be aware, however, of the difference between saving and hoarding. A savings plan has a specific purpose for the money being stored; a hoarding plan is money put aside for no particular reason and wouldn't be used even if needed. How much is enough? That's going to vary, family by family. If your income is generated by commission sales and is subject to frequent ups and downs, you will need savings to cover the down periods. For instance, in real estate sales it isn't unusual to go five to six months at a time with little or no income. Without adequate savings, the result is usually indebtedness.

The same could be said, to a lesser degree, about seasonal jobs like construction or farming. The amount of savings should be matched to actual needs. If, however, you work in a stable industry or a secure job, your need for a surplus may be considerably less. Remember also that we're not talking about long-range savings for college or retirement here. We'll look at those areas later.

I also believe that those who are in debt should have a savings category. Why? Because in order to get out of debt, you must *totally* avoid the use of credit. If you don't have any unrestricted savings on hand and something essential breaks down (a washing machine, refrigerator, or hot water heater, for example) it will lead to the use of credit again.

I have worked with many different creditors over the years and found that virtually all of them agreed to the savings plan, even when they were asked to accept a reduced payment, once they were assured that the couple would use no more credit.

CATEGORY 10: INDEBTEDNESS

Debt payments, other than housing and automobile, for the average family should constitute no more than 5 percent of their net spendable income. Obviously, it would be great if